

Meeting of the Board of the Central Bank of Armenia
Minutes on Refinancing Rate
(01.08.2023)

The Central Bank of Armenia Board meeting of August 1, 2023 attended by Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan, and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, Narek Ghazaryan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of August 1, 2023. The meeting addressed the developments related to inflation, external environment, and the real, fiscal, financial and monetary sectors.

Current developments in the external sector were presented. It was noted, that in the second quarter of 2023 the economic activity remains sluggish in the world and Armenia's partner countries. At the same time, in view of continuous slowdown of the economic growth and the contractionary monetary policy being implemented, a significant mitigation of the inflation environment is observable in the world economy. This is also expressed by certain deflationary patterns in international commodity markets, although the prices of goods and services with "sticky" prices still remain high due to the impact of inflationary pressures coming from the labor market. In such a situation, the central banks of the main partner countries of Armenia will continue to carry out a contractionary monetary policy in the near future. The estimation is that due to the gradual slowing of demand and inflation under tight financial conditions, the inflationary effects on the Armenian economy from the external sector will continue to weaken.

The Central Bank Board discussed the developments of the Armenian economy, stating that during the second quarter of 2023, economic activity was observed above expected, driven mainly by strong growth in the services and construction sectors. High rates of capital and labor inflows persisted during the quarter, pointing to an increase in productivity in the labor market. It was noted that the aggregate demand remains strong under the influence of high external demand and continued increase of incomes in the Armenian economy, with a large influx of tourists significantly contributing to it.

Addressing the developments of the Armenian financial market, the Board stated that in the second quarter of 2023 short-term market interest rates came to shaping primarily around the policy rate, while in the long-term segment, some decrease in interest rates was observable. During the quarter, sustained high rates of growth in capital and tourism inflows were also reflected in currency market developments, and the Central Bank of Armenia carried on its situational participation in the market (through purchases of foreign currency) to make sure the domestic financial markets are functioning normally.

The Board discussed the inflation developments, stating that in June of 2023, compared to the previous month, a 1.4% deflation was registered, mainly due to a 3.1% drop in food product prices. Prices of non-food products and service tariffs decreased during the month by 0.1% each. As a result, the 12-month inflation continued declining at a rapid pace to -0.5% at the end of the month. The 12-month core inflation also decreased significantly, to 1.5%. Furthermore, the Board admitted that the overall inflation environment in Armenia continued to mitigate determined due to the significant weakening of the inflationary effect from the external sector, the impact of the contractionary monetary

policy implemented by the Central Bank of Armenia, and the dram appreciation. However, in the wake of high demand and inflation expectations, inflation of services and some goods is adjusting more slowly.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board proceeded to considering the macroeconomic scenarios and monetary policy directions and making decision on the policy interest rate. In view of the aforementioned macroeconomic situation, the Policy Making Team proposed to the Board scenarios that described possible monetary risks deriving from upcoming economic development outlooks. Looking at various scenarios on how the present economic situation would unfold, the Board members agreed that the current macroeconomic environment mostly bears the effects deriving from external demand, which is accompanied by temporarily high economic activity and is only partially due to the increase of economic potential. At the same time, the Board members were unanimous that the risks of deanchoring inflation expectations have eased as a result of the notably mitigated inflation spillovers from the external sector and the implemented monetary policy. Yet, as estimated by some Board members, even if the 12-month inflation declines in the short term, future inflationary risks would somehow linger in spite of a sustained high demand and still high inflation in the services sector, and a more conservative stance for changing monetary conditions would be needed. Moreover, another standpoint offered by the Board was that, in such a situation, a change in the policy rate should be avoided. In addition, according to some members of the Board, a low inflation environment would shape in the upcoming period concomitant with easing inflation expectations, with the domestic demand slowing down rapidly influenced by relatively contractionary fiscal and monetary policies and relatively tight financial conditions in the market, which is why, in terms of controlling risks to deflation and economic growth slowdown, easing the monetary conditions in a relatively large step is more appropriate. In the outcome, **the Board of the Central Bank of Armenia decided by a majority vote to reduce the refinancing rate by 0.25 percentage points**. The Board also endorsed its commitment in taking adequate measures to regulate demand and stabilize inflation expectations. As outlined in the monetary policy scenario, the 12-month inflation will stand below the target value in the near term, then it will gradually increase and stabilize around the 4% target in the medium run.

The Board of the Central Bank estimated that the risks of inflation deviating from the projection path are mostly balanced. In case the risks materialize in any direction, the Board will react adequately and ensure the goal of price stability.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON THE SETTING OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA AND THE PRESS RELEASE ON THE REFINANCING RATE

CODE

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August 1, 2023, No. 119 L

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing Rate of the Central Bank of the Republic of Armenia to be 10.25%.
2. Set the Lombard Repo Facility Rate offered by the Central Bank of the Republic of Armenia to be 11.75%.
3. Set the Deposit Facility Rate offered by the Central Bank of the Republic of Armenia to be 8.75%.
4. Approve the Press Release on Refinancing Rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,

**Governor of the Central Bank
of the Republic of Armenia**

August 1, 2023

c. Yerevan

PRESS RELEASE
01.08.2023

At the August 1, 2023 meeting, the Board of the Central Bank of Armenia decided to reduce the refinancing rate by 0.25 percentage points to 10.25%.

In June 2023, the 12-month inflation continued to decrease at a rapid pace, reaching -0.5%. The 12-month core inflation also declined significantly, amounting to 1.5%.

In the second quarter of 2023, the rates of economic growth in the world and main partner countries to Armenia remained slow, and the 12-month inflation continues to decrease. However, in all partner countries sticky price inflation remains high amid sustained inflationary pressures coming from labor markets. Consequently, the central banks of partner countries will carry on conducting a contractionary monetary policy. Influenced by tight financial conditions, prices in international commodity markets are falling further. As a result, the inflationary effects on the Armenian economy from the external sector continue weakening.

A higher-than-expected economic activity was observable in Armenia in the second quarter of 2023, again driven by strong growth reported in the construction and services sectors. Sustained high external demand and increased income in the domestic economy amid a large influx of capital, labor and tourism contributed to expanding demand. The inflation environment in Armenia continues to mitigate rapidly as a result of the notably weakened inflationary impact from the external sector, the implemented contractionary monetary policy and the appreciation of the dram. However, price inflation of services and some goods is being adjusted more slowly in the light of high demand and inflation expectations.

The Board of the Central Bank of Armenia finds it appropriate to reduce the policy rate. The Board will be consistent in taking action to handle demand and stabilize inflation expectations. As outlined in the monetary policy scenario, the 12-month inflation will remain below the target in the near future, then it will gradually increase and stabilize around the 4% target in the medium term.

The Board of the Central Bank of Armenia estimates that the risks to inflation deviating from the projected path are mostly balanced; in the event these risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

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